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[TENTATIVE] ORDER GRANTING PLAINTIFF YEELING KO’S APPLICATION FOR ORDER TO SHOW CAUSE RE CONTEMPT

I. INTRODUCTION

This case concerns a dispute between the two shareholders and officers of Calpack International, Inc. Plaintiff Yeeling Ko (“Plaintiff”), Calpack’s majority shareholder and CEO, filed a First Amended Complaint (“FAC”) alleging that Defendant Gordon Iu (“Defendant”), the company’s minority shareholder, Secretary, and CFO, wrongfully excluded her from control over the business, financial records, and corporate assets. The FAC asserts causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing, conversion, fraud, breach of fiduciary duty, and accounting.

On April 23, 2025, following an ex parte hearing, the Court issued a Temporary Protective Order ("TPO") prohibiting Defendant from transferring any funds from Calpack's bank accounts. On July 14, 2025, the Court granted Plaintiff's motion for a preliminary injunction, continuing that prohibition pending final judgment. Plaintiff now seeks an order holding Defendant in contempt, alleging Defendant violated the Court's TPO and Preliminary Injunction by making transfers from Calpack's bank account. Plaintiff filed the instant application on April 20, 2026. Defendant filed an opposition on April 29, 2026. Plaintiff thereafter filed supplemental affidavits on May 4, 2026, and June 25, 2026.

II. LEGAL STANDARD

Code of Civil Procedure section 128, subdivision (a)(4), provides that every court has the power "[t]o compel obedience to its judgments, orders, and process." Code of Civil Procedure section 1209, subdivision (a)(5), provides that the "[d]isobedience of any lawful judgment, order, or process of the court" constitutes contempt of court. Where the alleged contempt is indirect—that is, not committed in the immediate view and presence of the court—the proceeding must be initiated by an affidavit or declaration setting forth the facts constituting the contempt. (Code Civ. Proc., § 1211, subd. (a).)

At the contempt hearing, the court considers the alleged contemnor's answer and the evidence presented and determines whether contempt has been established. (Code Civ. Proc., § 1218, subd. (a).) If the court finds the person guilty of contempt, it may impose a fine not exceeding $1,000, imprisonment not exceeding five days, or both, for each separate act of contempt. (Ibid.)

To establish indirect contempt, the moving party must prove: (1) the existence of a lawful court order; (2) the alleged contemnor's knowledge of the order; (3) the ability to comply with the order; and (4) willful disobedience of the order. (See Code Civ. Proc., § 1209; People v. Gonzalez (1996) 12 Cal.4th 804, 816-823.)

III. ANALYSIS

Plaintiff seeks an order holding Defendant in contempt for allegedly violating this Court's April 23, 2025, Temporary Protective Order and July 14, 2025, Preliminary Injunction by transferring funds from Calpack International Inc.'s Chase bank account on seven separate occasions. Plaintiff contends Defendant knowingly violated the Court's orders by making the following transfers: (1) $138.92 on April 23, 2025; (2) $6,222.51 on August 8, 2025; (3) $140.26 on December 26, 2025; (4) $100.00 on January 5, 2026; (5) $2,684.05 on January 14, 2026; (6) $203.88 on January 26, 2026; and (7) $100.00 on February 24, 2026. (Motion, pp. 2-3.) Defendant does not dispute that the transactions occurred, but contends they were either returns of mistaken deposits or automatic deductions for legitimate business expenses, and therefore did not constitute willful violations of the Court's orders. (Opposition, pp. 2-5.)

Existence of a lawful court order

This first element is satisfied. The Court issued a TPO prohibiting Defendant from transferring any money from Calpack's Chase bank account or any other Calpack bank account. Thereafter, on July 14, 2025, the Court entered a Preliminary Injunction containing the same prohibition, which remained in effect pending final judgment. Neither party disputes the existence of these orders.

Knowledge of the orders

The evidence likewise establishes Defendant's knowledge of the Court's orders. The Temporary Protective Order was prepared by Defendant's then-counsel and notice of entry was filed the same day it was issued. The Preliminary Injunction was likewise served on Defendant's counsel on July 14, 2025. Defendant does not contend he lacked notice of either order.

Ability to comply

The evidence also demonstrates Defendant had the ability to comply with the Court's orders. Plaintiff's evidence indicates Defendant exclusively controlled Calpack's Chase bank account and had sole authority over transfers from the account. Defendant does not argue he lacked the ability to comply with the Court's injunctions.

Willful disobedience

In this case, the dispute concerns whether Defendant’s transfers constituted willful violations of the Court’s orders.

With respect to the April 23, 2025, transfer of $138.92 and the August 8, 2025, transfer of $6,222.51, Defendant asserts the transactions were returns of funds mistakenly deposited into Calpack's bank account by third parties, Gargo Food and BF Suma, respectively. (Lee Aff., ¶ 6.) In support, Defendant submitted documents reflecting the alleged mistaken deposits and return transactions. (Lee Aff., Exhs. C, D.) Plaintiff subsequently filed a supplemental affidavit concerning the August 2025 transfer after obtaining additional information from BF Suma. Plaintiff's counsel declares that BF Suma's Office Manager, Wendy Cheung, provided email communications indicating that Gordon Iu instructed BF Suma to remit payment for a July 2025 Calpack sale to an account designated as General Trust Investments; BF Suma initially transmitted payment to Calpack's Chase account, requested return of those funds after realizing the payment had been sent to the wrong account, and thereafter reissued payment to the General Trust Investments account. Plaintiff further submits that Wendy Cheung confirmed Plaintiff's understanding of those events and later provided screenshots reflecting the initial payment, return of funds, and reissued payment. (6/25/26 Supp. Aff., ¶¶ 4-9 & Exhs. A-B.)

As to the January 14, 2026, transfer of $2,684.05, Defendant contends the transaction was a State of California filing or processing fee rather than a manual transfer initiated for personal purposes. (Lee Aff., ¶¶ 2-4 & Exh. A.) Plaintiff thereafter submitted a supplemental affidavit attaching a California Department of Tax and Fee Administration Statement of Account and Payment Voucher. Plaintiff contends the document reflects only two methods of payment—online payment through the agency's website or payment by check—and therefore argues the payment required affirmative action rather than occurring by automatic withdrawal. (5/4/26 Supp. Aff; Exh. B.)

Regarding the remaining transfers—$140.26 on December 26, 2025, $100.00 on January 5, 2026, $203.88 on January 26, 2026, and $100.00 on February 24, 2026—Defendant explains that the transactions consisted of recurring GoDaddy website charges and State of California or Chase processing fees incurred in connection with Calpack's corporate obligations. Gordon Iu provided those explanations in an email to counsel dated April 15, 2026. Counsel declares that, although Mr. Iu instructed him to forward the email to Plaintiff's counsel, counsel inadvertently replied only to Mr. Iu and did not transmit the explanations until after Plaintiff filed the contempt application. (Lee Aff., ¶¶ 2-5; Exhs. A-B.)

The Court finds Plaintiff has established that the August 8, 2025, transfer of $6,222.51 constituted willful violations of the Court's orders. While Defendant characterizes transactions as returns of mistaken deposits, Plaintiff's supplemental evidence regarding the August 2025 transfer indicates the funds were returned so that payment could be reissued to an account designated by Defendant rather than Calpack's account. Defendant submitted no supplemental declaration or other evidence rebutting Plaintiff's subsequently obtained evidence. Under these circumstances, the Court finds Defendant's explanations insufficient to overcome Plaintiff's showing that the April 23, 2025, and August 8, 2025, transfers were willful violations of the Court's orders.

As to the remaining alleged violations, the Court is not persuaded that Plaintiff has established willful disobedience. Defendant provided explanations that these transactions were recurring GoDaddy charges and State of California or Chase processing fees, and that the January 14, 2026, transaction was a State of California filing or processing fee. Although Plaintiff disputes those explanations, the evidence presented does not establish that these transactions were willful violations of the Court's orders.

Plaintiff has established that Defendant willfully violated the Court's orders. Therefore, the Court finds Defendant Gordon Iu in contempt.

IV. CONCLUSION

The Court GRANTS Plaintiff's application for contempt. The Court will determine the nature and extent of the sanction at the hearing.

Plaintiff is to give notice.

Dated: July 7, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT